However, if the national income is being derived at the 'market cost' the indirect taxes do not need to be deducted from it. In this case, the governments need not add their income accruing from indirect taxes to the national income either. It means, that the confusion in the case of national income accounting at factor cost is only related with the indirect taxes.

Subsidies & National Income

Similar to the indirect taxes, the various subsidies which are forwarded by the governments need to be adjusted while calculating national income. They are added to the national income at market cost, in case of India[9]. Subsidies are added in the national income at the market cost to derive the national income at factor cost . This is because the price at which the subsidised goods and services are made available by the governments are not their real factor costs (subsidies are forwarded on the factor costs of the goods and services) otherwise we will have a distorted value (which will be less than its real value!). Thus the formula will be:

National Income at Factor Cost = NNP at Market Cost + Subsidies

If the national income is derived at the market cost and governments forward no subsidies there is no need to adjustments for the subsidies – but after all there is not a single economy in the world today which does not forward subsidies in one or the other form.

Putting 'indirect taxes' and the 'subsidies' both together India's National Income will be derived with the following formula (as India does it at the factor cost):

National Income at Factor Cost = NNP at Market Cost – Indirect Taxes + Subsidies

UNIQUENESS OF THE INDIAN ECONOMY

Indian economy did show some traits[10] which were unique:

(i) The contribution of the primary sector in its GDP has fallen down regularly and today it stands at 14.1 per cent—which is sufficient to